SECTION A – CASE QUESTIONS **(Total: 50 marks)**

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Kowloon Group Holding Limited ("KGH") is an e-commerce and technology conglomerate that provides consumer-to-consumer, business-to-consumer and business-to-business sales services via web portals. It is listed on the Main Board of the Hong Kong Stock Exchange Limited. KGH and its subsidiaries (the "Group") have a financial year end date of 31 December. KGH has grown over the past few years through the acquisition of companies.

KGH acquired Shatin Limited ("STL") and Austin Limited ("AST") with details as follows:

	STL	AST
Date of acquisition	1 January 2015	1 January 2016
Percentage acquired by KGH	80%	25%
Shareholders' equity at acquisition date:	HK$ million	HK$ million
Share capital	10,000	5,000
Retained earnings	30,000	20,000
Other reserves	15,000	10,000
	55,000	35,000

Differences between fair value and book value of assets on the date of acquisition amount to the following:

	STL		AST	
	Book value HK$ million	Fair value HK$ million	Book value HK$ million	Fair value HK$ million
Property, plant and equipment	No difference		18,000	18,500
Intangible assets	45,000	47,000	No difference	

At the acquisition date, the remaining useful life of the property, plant and equipment and intangible assets, both with zero residual value, was five years and eight years, respectively. Depreciation of property, plant and equipment and amortisation of intangible assets are both accounted for as cost of revenues. The fair value of non-controlling interests in STL at the date of acquisition was HK$12,000 million. It is the Group's policy to measure the non-controlling interests at fair value at the date of acquisition. The financial statements of KGH, STL and AST are shown below.

Statement of profit or loss and other comprehensive income for the year ended 31 December 2017

	KGH	STL	AST
	HK$ million	HK$ million	HK$ million
Revenues	250,000	90,000	70,000
Cost of revenues	(75,000)	(30,000)	(20,000)
Other income	15,000	8,000	5,000
Other expenses	(65,000)	(23,000)	(20,000)
Profit before tax	125,000	45,000	35,000
Tax expenses	(25,000)	(9,000)	(5,000)
Profit after tax	100,000	36,000	30,000

Statement of financial position as at 31 December 2017

	KGH	STL	AST
	HK$ million	HK$ million	HK$ million
Property, plant and equipment	50,000	12,500	20,000
Intangible assets	115,000	52,500	30,000
Investment in STL, at cost	55,000	-	-
Investment in AST, at cost	15,000	-	-
Deferred tax assets	2,500	250	350
Other non-current assets	1,000	300	450
Current assets	62,500	39,500	26,700
	301,000	105,050	77,500
Share capital	50,000	10,000	5,000
Retained earnings	130,000	69,000	51,000
Other reserves	35,000	15,000	10,000
Deferred tax liabilities	750	700	400
Non-current liabilities	47,750	5,350	6,600
Current liabilities	37,500	5,000	4,500
	301,000	105,050	77,500

Additional information:

(a) On 1 January 2017, STL transferred its property, plant and equipment to KGH at a transfer price of HK$6,000 million. The carrying amount of the property, plant and equipment was HK$2,000 million and the gain on disposal has been included under other income. The original useful life of the property, plant and equipment was ten years, and its remaining useful life as at 1 January 2017 was four years, with zero residual value. Depreciation of property, plant and equipment is accounted for as cost of revenues.

(b) Recognise tax effects on fair value adjustments. Assume a tax rate of 16% and the relevant property, plant and equipment and intangible assets are deductible for tax purpose.

(c) Dividend income is included under other income.

(d) The retained earnings as at 1 January 2017 and the dividends paid for the year ended 31 December 2017 are as follows:

	KGH	STL	AST
	HK$ million	HK$ million	HK$ million
Retained earnings, 1 January 2017	45,000	40,000	25,000
Dividends paid	(15,000)	(7,000)	(4,000)

KGH's proposal to acquire physical stores – Bargain Mart ("BGM")

Bargain Mart as a trade name

While KGH is already a leader in the e-commerce market, it has shown interest in brick-and-mortar retail. As part of its "new retail" vision, KGH intends to acquire Bargain Mart ("BGM"). BGM operates supermarkets, hypermarkets and fashion boutiques, each of which is considered as a cash generating unit.

One of the identifiable intangible assets of BGM is its trademark, Bargain Mart. As KGH would like to develop its own trade name, KGH does not intend to use the trade name Bargain Mart after the acquisition. However, by keeping the trademark, KGH can prevent other market participants to use Bargain Mart for trading. Since KGH will discontinue using Bargain Mart as the trade name, the cash flows relating to Bargain Mart, as a trade name, are expected to be nil. KGH would like to assign a fair value of nil to Bargain Mart as a trade name at the acquisition date.

Impairment of goodwill of BGM

In a meeting of the board of director, Jody Wong, one of the directors, raised the following concern:

"I know that we have to pay HK$22,400 million for such an acquisition, though the financial statements of BGM show only a book value of net assets of HK$15,000 million. In fact, BGM is a loss-making company. As the goodwill pertains to BGM, there will be an impairment of goodwill immediately after acquisition amounting to HK$7,400 million which will greatly affect our profitability."

However, the CFO replied as follows:

"KGH is positioning itself well in the Chinese market. The company already dominates the e-commerce space in China and will now operate the leading supermarket chain. KGH can effectively gain expertise in brick-and-mortar retail and use its data-driven approach to integrate the online and offline shopping experience for customers. The purchase of BGM will benefit KGH as a whole and achieve a synergy between our online and offline businesses. Both online and offline businesses are expected to benefit from the synergies of the combination and thus goodwill impairment will never be calculated for BGM alone".

<u>Question 1</u> **(8 marks – approximately 14 minutes)**

Assume that you are Philip Chan, the accounting manager.

<u>Required:</u>

Draft a memorandum explaining the accounting principles in relation to the goodwill allocation and impairment of goodwill of BGM.

Note: Mark(s) will be awarded for proper memorandum format used with logical presentation.

(8 marks)

<u>Question 2</u> **(6 marks – approximately 11 minutes)**

Assume that other market participants can use Bargain Mart as a trade name if it is not prevented by KGH, and KGH can sell the trade name after acquisition if KGH choose to do so; advise whether KGH should assign a fair value of zero to Bargain Mart as a trade name at the acquisition date. Advise also the subsequent accounting treatment.

(6 marks)

<u>Question 3</u> **(32 marks – approximately 58 minutes)**

Prepare the worksheets for the consolidated statement of profit or loss and other comprehensive income and consolidated statement of financial position of KGH for the year ended 31 December 2017.

Note: Consolidation adjustments are to be shown in the form of a worksheet. For this question, you may wish to use the templates printed on the green paper provided to prepare your answers or continue your answer in the script booklet for Case Questions. You have to show the supporting calculation for each figure in the worksheet, but journal entries are not required.

(32 marks)

<u>Question 4</u> **(4 marks – approximately 7 minutes)**

Prepare a reconciliation of the investment in AST as an associate as at 31 December 2017, showing the value of net assets shared and the goodwill component.

(4 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (15 marks – approximately 27 minutes)

Easy Life Company Limited ("EL") is listed on the Main Board of the Hong Kong Stock Exchange Limited. The company had the following movements in ordinary shares, preference shares and share options during the financial year ended 31 December 2017:

		Ordinary shares (million)	Preference shares (million)	Share options (million)
1 January 2017	Balance brought forward	4,000	500	
31 March 2017	Issuance of shares for cash	300		
1 June 2017	Issuance of share options			200
31 October 2017	Exercise of share options	200		(200)
31 December 2017	Balance carried forward	4,500	500	-

Other information:

- On 31 March 2017, EL issued 300 million shares at fair value for cash.
- On 1 June 2017, share options were issued with an exercise price of HK$10 per share. On that day market price of the shares of EL was HK$15 per share. On 31 October 2017, all the share options were exercised and hence no share options were outstanding by the end of the financial year.
- The average market price between 1 June 2017 to 31 October 2017 was HK$25 per share.
- On 15 December 2017, preference share dividend of HK$2 per preferred share was declared and approved.
- Net profit for the financial year ended 31 December 2017 was HK$22,000 million.
- The financial statements for the year ended 31 December 2017 were approved for issue on 15 March 2018.
- On 19 March 2018, EL underwent a one-for-one bonus issue, i.e. for every share held, an extra share was issued at HK$ nil.

Required:

(a) Calculate the basic and diluted earnings per share ("EPS") for the year ended 31 December 2017. In your answer, provide explanations on the treatment of the one-for-one bonus issue and share options applied in your calculations. Taxes should be ignored.

(12 marks)

(b) Advise the impact, if any, of the one-for-one bonus issue on the calculation of EPS for the financial year ended 31 December 2017 if the financial statements were authorised for issue on 20 March 2018 instead. No calculation is required.

(3 marks)

Question 6 **(17 marks – approximately 31 minutes)**

AlwaysRight Co. Limited ("AlwaysRight") is a Hong Kong incorporated company in the business of providing a platform of sourcing and selling products that are created by innovative designers across the world. It invests in a number of financial products to manage its excess cash as follow:

(i) Wealth management products issued by Bank Q.

The investment matures in two years and its returns are linked to the performances of a portfolio of bonds, equity-linked notes and the Hang Seng index constituent stocks.

(ii) Investment in ordinary shares of Happy Day Limited ("Happy Day").

Happy Day, a private company operating in the PRC, is in the business of research and development of brain chips. AlwaysRight's investment represents 5% of the issued share capital of Happy Day. The investment is intended to be a strategic long term investment and such holding does not give AlwaysRight the control / joint control or significant influence over Happy Day.

According to Mr Wright, Founder of AlwaysRight, the objective of holding the investment in wealth management products issued by Bank Q is to collect contractual cash flows and the intention is to hold to maturity. Mr Wright believes that the investment should be classified as subsequently measured at amortised cost less impairment (if any) because it is no different from "a mere fixed deposit, only with a higher return". In other words, Mr Wright considers that the investment meets the solely payments of principal and interest ("SPPI") criterion and that the business model is primarily to collect contractual cash flows of interest and principal.

As for investment in Happy Day, Mr Wright advised that since the instrument is not held for trading and its fair value cannot be reliably measured, it is to be stated at cost less impairment (if any).

As part of the company's plan to expand its businesses, Mr Wright is considering to expand its sources of cash through different ways of financing. Currently, he is contemplating to obtain additional funding through:

(i) Issuance of convertible bonds where the conversion feature would have been classified as equity; or

(ii) Seeking to list the company's existing shares via initial public offering ("IPO") and offering to issue new shares at the IPO price.

Required:

(a) As Chief Financial Officer of AlwaysRight, you have been asked by Mr Wright to evaluate his preliminary thoughts on how to account for the investments as he is not very familiar with the financial reporting standards after graduating from business school some 20 years ago.

You are required to advise with rationale whether you agree with his proposals for each of the instruments mentioned above. If you disagree, then state what you believe the accounting treatment AlwaysRight could have adopted in each case.

(9 marks)

(b) Mr Wright noticed that impairment loss has been recognised for some long term trade receivables even though they are not yet due and that he did not expect them to go bankrupt anytime soon.

Explain to him the rationale behind the impairment model of financial assets, and situations under which impairment loss would have been recorded even when there is no default.

(4 marks)

(c) **Advise the accounting treatment of the costs directly related to the issuance of new convertible bonds and the issuance of new shares via IPO. Journal entries are not required.**

(4 marks)

<u>Question 7</u> (18 marks – approximately 32 minutes)

Good Flow Limited ("GF") is a company in the business of manufacturing and trading of health products. It is incorporated in the Cayman Islands and listed on the Stock Exchange of Hong Kong Limited.

During 2017, GF's auditors received an anonymous letter alleging that GF overstated its sales. Upon detailed investigation, it was found that revenue and cost of goods sold for the year ended 31 December 2016 were overstated by HK$100 million and HK$60 million respectively. In addition, inventories and trade receivables as of 31 December 2016 were found to be overstated by HK$100 million and HK$200 million respectively.

Mr Chan is the Accounting Manager of GF and he is responsible for drafting the financial statements for the financial year ended 31 December 2017. His boss, Mr Wong, the Chief Financial Officer of GF, instructed Mr Chan to make the disclosures regarding the incidence "as simple as possible" so that users of the financial statements will not be "confused by unnecessary details".

As a result, apart from adjusting the comparatives of the relevant account line items in the financial statements and labelling them as "restated", Mr Chan comes up with the following disclosures in the notes to the draft financial statements for the financial year ended 31 December 2017 without further elaborations.

Prior year adjustments

During the year, the Company identified certain misstatements in respect of the comparatives as of, and for, the year ended 31 December 2016. The corresponding amounts have been restated accordingly.

On 28 February 2018, two days before the announcement of the company's 2017 results and the authorisation of its financial statements for issue, Mr Chan discovered that GF had actually breached a loan covenant based on the results as of 31 December 2017 and that would lead to a long-term loan becoming repayable on demand. No action to refinance the loan has been taken to date. Mr Chan escalated the matter to Mr Wong and was told "not to be bothered with it as we are going to announce very soon and the auditors did not spot it. Otherwise you might need to look for other opportunities outside."

Both Mr Wong and Mr Chan are members of the Hong Kong Institute of Certified Public Accountants.

<u>Required:</u>

(a) Advise as to the ethical issues involved in this case in accordance with the Code of Ethics for Professional Accountants for each of Mr Wong and Mr Chan.

(6 marks)

(b) Advise your comments, on the disclosures in regards to the prior year adjustment as presented in GF's draft financial statements for the year ended 31 December 2017. You are <u>not</u> required to re-draft the disclosures.

(5 marks)

(c) State the requirements for a liability to be classified as current / non-current. Advise in GF's situation whether the long-term loan should have been classified as current if the lender agreed on 28 February 2018 not to demand payment as a consequence of the breach.

(5 marks)

(d) Explain the impact, if any, on the basis of preparation of GF's financial statements for the year ended 31 December 2017 if their management determines on 28 February 2018 that the group has no realistic alternative but to liquidate.

(2 marks)

* * * END OF EXAMINATION PAPER * * *